

Yellevate

Dispute Analysis

Identifying Circumstances Behind Revenue Loss

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Methodology

Steps that were taken in analyzing the data :

1. Identify the problems.
2. Set data analysis goals.
3. Data gathering & collection
3. Data cleaning and manipulation.
4. Analysis and visualization.
6. Insights and recommendation

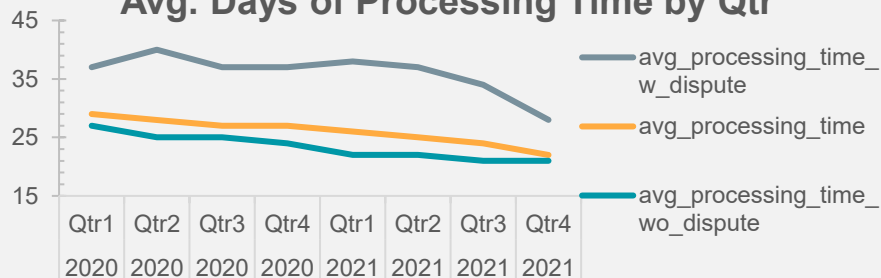
Processing Time

- The average processing time in which invoices are settled is 26 days.
- The average processing time for the company to settle invoices with disputes is 36 days whether the customer paid the invoice, if the dispute was resolved in favor of the customer, or if the decision that the customer does not have to pay was finalized.

Average Days of Processing Time



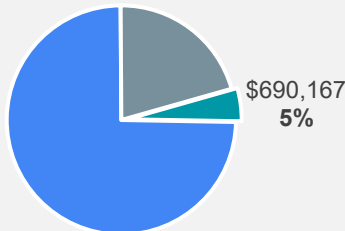
Avg. Days of Processing Time by Qtr



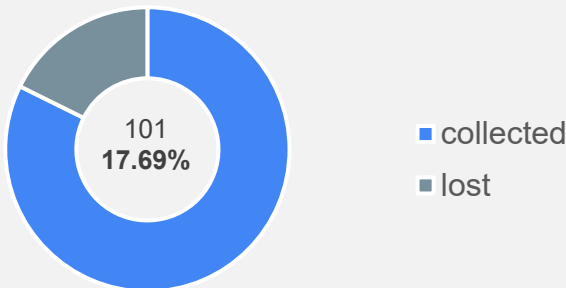
Percentage of Disputes Received & Lost

- The 17.69% of disputes lost suggests that there may be room for enhancement in the company's dispute resolution process. On the other hand, the 18.41% of revenue lost due to disputes signifies a substantial financial impact.

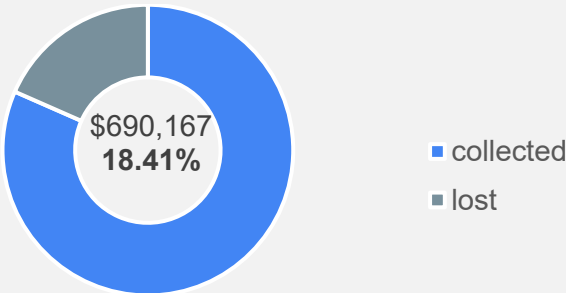
Percentage of Revenue Lost



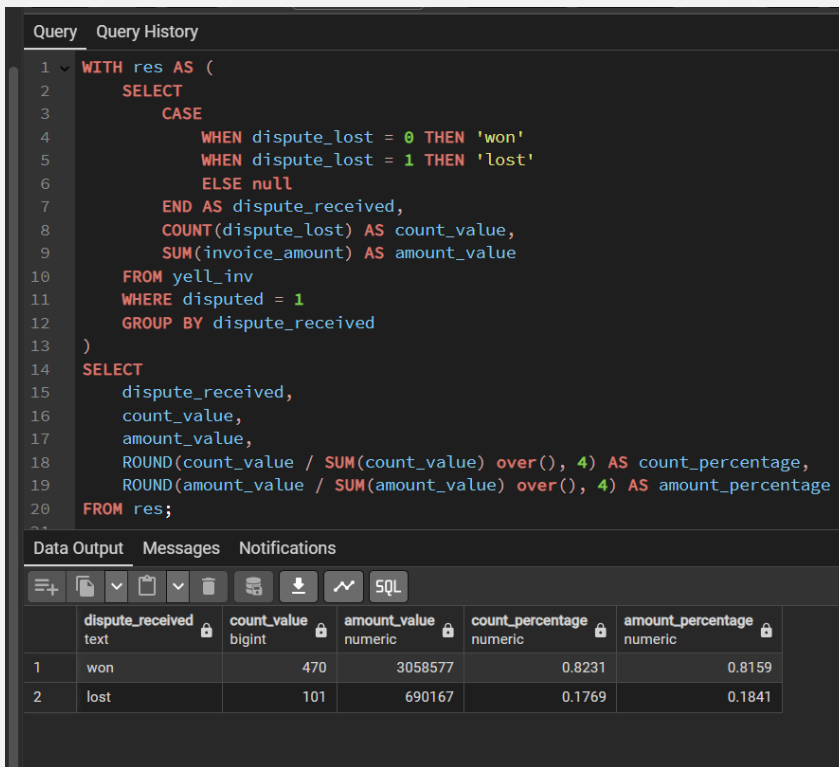
Received & Lost by Invoices Count



Received & Lost by Invoices Amount



Percentage of Disputes Received & Lost (SQL)



The screenshot shows a SQL IDE interface. The top pane displays a SQL query that calculates the percentage of disputes received and lost. The query uses a CTE named 'res' to first aggregate the data by dispute status, then calculates the percentages using window functions. The bottom pane shows the results of the query in a table format with columns for dispute status, counts, and percentages.

```
Query Query History
1 WITH res AS (
2     SELECT
3         CASE
4             WHEN dispute_lost = 0 THEN 'won'
5             WHEN dispute_lost = 1 THEN 'lost'
6             ELSE null
7         END AS dispute_received,
8         COUNT(dispute_lost) AS count_value,
9         SUM(invoice_amount) AS amount_value
10    FROM yell_inv
11   WHERE disputed = 1
12   GROUP BY dispute_received
13 )
14 SELECT
15     dispute_received,
16     count_value,
17     amount_value,
18     ROUND(count_value / SUM(count_value) over(), 4) AS count_percentage,
19     ROUND(amount_value / SUM(amount_value) over(), 4) AS amount_percentage
20 FROM res;
```

Data Output Messages Notifications

	dispute_received text	count_value bigint	amount_value numeric	count_percentage numeric	amount_percentage numeric
1	won	470	3058577	0.8231	0.8159
2	lost	101	690167	0.1769	0.1841

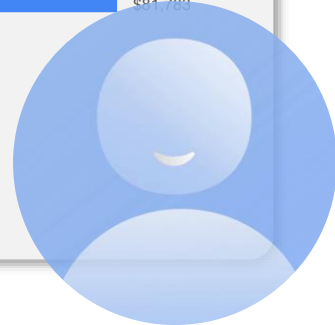
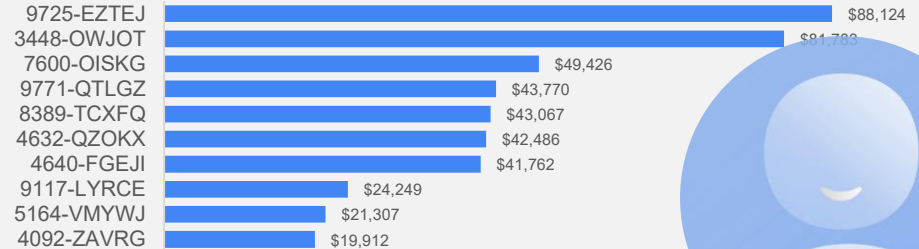
Regional Analysis of Revenue Loss

- *France* has been most affected in terms of losses with a total amount of **\$526,264** and **76%** of the total loss, while Spain has been least affected among the five countries with just **2%** of the total loss.
- The highest amount for one client in *France* is a total of **\$88,124**.

Highest Losses by Country



Top 10 Highest Losses by Clients in France



Summary of Insights

- The downtrend in processing time shows improvement in invoice handling.
- Disputes lost involve higher value transactions, contributing significantly to revenue loss. This could indicate potential issues with high-value transactions leading to disputes.
- Opting out to pay despite quality and completion of service indicates that there was a considerable probability of a loophole in the policy and payment terms that is likely being exploited by clients.

Conclusion: Addressing Revenue Loss due to Disputes

To address the business question regarding the circumstances contributing to the 5% annual revenue loss caused by 20% of disputes raised against Yellevate, we identified key issues. It appears that a significant loophole in the policy and terms of service contract may have been exploited by clients, leading to the disputes and subsequent revenue loss. Additionally, longer payment terms have provided clients with more time to identify potential reasons for raising disputes and exploiting these loopholes.

Recommendations:

- **Contract Review:** Engage legal management experts for comprehensive and precise terms.
- **Focus on High-Value Disputes:** Prioritize resolving disputes involving larger sums.
- **Shorten Payment Terms:** Push for a 15-day average threshold to reduce opportunities for dispute exploitation.